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POLICY BRIEF

BEFORE AGI ARRIVES: WHY 2025-2030 DETERMINES THE FUTURE OF DEMOCRATIC AI GOVERNANCE

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EXECUTIVE SUMMARY

This paper argues that democratic societies face a critical three- to five-year window (2025-2030) to establish effective governance of artificial intelligence before the potential emergence of Artificial General Intelligence (AGI). The analysis demonstrates that AI capabilities are advancing exponentially while democratic institutions respond at traditional policy speeds, creating a dangerous mismatch. Power is rapidly concentrating in private technology corporations that now control 85-90% of AI computational resources and talent, while public sector AI investment lags dramatically behind private funding. The paper outlines essential policy actions including governance innovation, strategic public investment of €5 billion annually, international coordination mechanisms, and proactive risk mitigation. Failure to act within this narrow window risks permanent democratic disempowerment, entrenched power asymmetries, and irreversible safety risks as AI systems potentially surpass human capabilities in critical governance domains.

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Views expressed in this publication reflect the opinion of individual authors and not those of the European University Institute.

1. INTRODUCTION

- **The Challenge:** AI is advancing faster than government can govern it. While AI capabilities double every 12 to 18 months, democratic institutions operate on traditional policy timelines, creating a dangerous gap that threatens democratic control over increasingly powerful systems.
- **The Stakes:** A small number of tech corporations now control the vast majority of AI resources, talent, and capabilities. Private AI investment ($80-90 billion globally) dwarfs public investment (around $10 billion), creating power imbalances that could become permanent if AGI emerges without adequate democratic oversight.
- **The Window:** The next three to five years represent the last opportunity to establish effective democratic governance before AI potentially reaches general intelligence (2027-2030). After AGI emergence, implementing governance frameworks will become exponentially more difficult or impossible.
- **Essential Actions:** Governments must immediately rethink how they make policy, invest €5 billion annually in AI safety and public infrastructure, coordinate internationally through binding frameworks, and implement proactive risk mitigation before AGI arrives.
- **Bottom Line:** Act decisively now to shape AI development according to democratic values or risk a future where algorithmic systems operate beyond meaningful democratic control.

2. THE URGENCY OF THE CURRENT MOMENT

2.1 Accelerating technical development

Where previous technological revolutions unfolded over decades, AI capabilities are doubling every 12 to 18 months across multiple domains simultaneously. This acceleration is most visible in language models, where GPT-4's performance represents a 1,000x improvement over GPT-2 in just four years.

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The speed of adoption compounds this technical acceleration. ChatGPT's achievement of 100 million users in 60 days represents the fastest technology adoption in history.

Most concerning is the emergence of capabilities that were not anticipated by current regulatory frameworks. The EU AI Act, finalised in 2024, was designed around the assumption of narrow AI systems with predictable capabilities. However, modern large language models already demonstrate emergent properties — capabilities that arise spontaneously from scale rather than explicit programming — that challenge risk categorisation approaches based on predefined use cases.

2.2 Power transfer already underway

The concentration of AI capabilities in a small number of technology corporations has created an unprecedented shift in the balance of power between democratic institutions and private entities. This transfer operates across multiple dimensions that compound to create systemic challenges for democratic governance.

- **Computational resources:** The most advanced AI systems require computational resources that dwarf government capacities. Training GPT-4 reportedly cost over $100 million in computing resources alone, whilst the most advanced models projected for 2025-2027 may require billions in computational infrastructure. Public sector control of high-performance computing suitable for AI development has declined significantly to approximately 10-15% of global capacity, with this percentage continuing to fall as private investment accelerates.
- **Talent concentration:** The small pool of researchers capable of developing frontier AI systems has become increasingly concentrated in private companies. Average compensation for senior AI researchers at major technology companies now exceeds €500,000 annually, making it difficult for public institutions to compete for talent. This brain drain means that the individuals best positioned to understand and govern

AI systems are increasingly employed by the entities requiring oversight.

- **Data advantages:** Modern AI systems derive their capabilities from training on vast datasets that are largely controlled by technology platforms. The data moats created by social media platforms, search engines, and e-commerce sites provide competitive advantages that are difficult for public institutions to replicate or regulate effectively.

2.3 Geopolitical consolidation

The global AI landscape is rapidly consolidating into two dominant paradigms, neither of which prioritises democratic governance or human agency as primary design principles. The US model emphasises corporate innovation with minimal regulatory constraints, optimising for speed of development and market deployment. The Chinese model subordinates AI development to state strategic objectives, with centralised control but limited democratic input.

Europe's opportunity to establish a third path — one that prioritises democratic values, human rights, and citizen agency — faces a narrowing window. The AI Act represents an important first step, but the implementation timeline extends into 2026-2027, potentially arriving after the competitive landscape has been permanently established. Moreover, European distraction through trade tensions and defence spending demands threatens to divert attention and resources from AI governance just when decisive action is most needed.

The risk of geopolitical lock-in extends beyond economic competition to fundamental questions about the future of democratic governance. If AI systems designed according to non-democratic principles achieve overwhelming competitive advantages, democratic societies may face pressure to adopt similar approaches or accept technological dependence that undermines sovereignty.

3. IMPLICATIONS OF INACTION DURING THE CRITICAL WINDOW

3.1 Permanent democratic disempowerment

The most severe consequence of failing to act within the three- to five-year window would be the irreversible marginalisation of democratic institutions in governing advanced AI systems. As these systems approach and potentially exceed human capabilities in domains critical to governance — policy analysis, resource allocation, and strategic planning — democratic institutions risk being reduced to symbolic entities that validate rather than direct increasingly automated decision-making.

This disempowerment would operate through multiple mechanisms. AI systems optimised for efficiency rather than democratic values would generate policy recommendations based on narrow optimisation criteria, potentially overlooking distributional concerns, minority rights, or long-term consequences that democratic deliberation typically considers. The speed advantage of AI systems would create pressure for rapid implementation of algorithmic recommendations, circumventing the deliberative processes that legitimise democratic governance.

Perhaps most concerning, the complexity of advanced AI systems may render them effectively ungovernable through traditional democratic oversight mechanisms. If these systems become too sophisticated for human legislators and civil servants to understand, democratic accountability becomes meaningless regardless of formal institutional structures.

3.2 Entrenched power asymmetries

The resource advantages currently enjoyed by technology corporations could become effectively insurmountable if AGI development proceeds without significant public sector investment and oversight mechanisms. The recursive self-improvement capabilities potentially enabled by AGI — systems that can improve their own design — could create exponential advantages for first movers

that public institutions would be unable to overcome.

Current investment patterns suggest that this entrenchment is already beginning. Private sector AI investment exceeded $80 to 90 billion globally in 2023, whilst public sector investment remained around $10 billion. The gap between private and public AI capabilities continues to widen, creating dependencies that may be difficult to reverse even with significant public investment.

The implications extend beyond technological capabilities to fundamental questions about economic and political power. If a small number of corporations control systems capable of automating significant portions of economic activity, their influence over employment, wages, and economic distribution could exceed that of elected governments.

3.3 Irreversible safety risks

The window for implementing robust safety and alignment measures may close if AGI systems emerge without adequate guardrails. Unlike conventional technologies where safety measures can be retrofitted, AI systems that achieve general intelligence may resist modification or oversight if not designed with appropriate safeguards from the outset.

The technical challenges of AI alignment — ensuring that advanced systems pursue objectives compatible with human values — become exponentially more difficult as systems become more capable. Current research suggests that alignment techniques effective for narrow AI systems may not scale to general intelligence, requiring fundamentally different approaches that must be developed before AGI emergence.

The international dimension of AI safety creates additional urgency. Safety measures implemented unilaterally may be undermined by competitive pressures if other actors develop less constrained systems. The narrow window before AGI emergence represents the last opportunity to establish international coordination mechanisms whilst the stakes remain manageable.

4. ESSENTIAL POLICY ACTIONS FOR THE CRITICAL WINDOW

4.1 Immediate governance innovation (2025-2026)

AI technology is advancing at breakneck speed while government policy moves at a snail's pace. This dangerous mismatch threatens to leave society unprotected from AI risks while stifling beneficial innovation. Governments must fundamentally change how they make policy, becoming faster, smarter, and more responsive while still maintaining democratic accountability.

- **Bridge the knowledge gap:** Create teams of AI experts who work directly inside government agencies to translate complex technical developments into plain language for policymakers. Think of them as translators between the AI world and the political world, helping officials understand what's actually happening in labs and companies so they can make informed decisions quickly.
- **Build flexible rules:** Instead of writing rigid laws that become outdated before they're even passed, create adaptable frameworks that can evolve with the technology. These would set clear principles and boundaries while allowing rapid adjustments as AI capabilities change, like having speed limits that can be quickly modified based on road conditions.
- **Give citizens a real voice:** Use digital platforms to involve ordinary people in AI governance decisions that will affect their lives. These would not be just surveys or comment boxes, but sophisticated tools that help citizens understand complex issues and contribute meaningfully to policy debates about AI's role in society.
- **Look around the corner:** Establish a dedicated unit focused on spotting AI governance challenges before they explode into crises. Rather than always playing catch-up, this team would scan the horizon for emerging risks and opportunities, ensuring policies are ready when new AI capabilities

emerge.

- **The bottom line:** Government must innovate how it governs or risk being permanently left behind by the AI revolution.

4.2 Strategic investment (2025-2027)

Closing the resource gap between public and private AI capabilities requires sustained investment that treats AI infrastructure as critical to democratic sovereignty, rather than merely economic competitiveness.

- **European AI safety research fund:** Commit €5 billion annually by 2027 to AI safety research, protected from budget cuts through designation as critical infrastructure for European digital sovereignty. This fund would focus specifically on alignment research, interpretability, and governance technologies that enable democratic oversight of advanced systems.
- **Public AI infrastructure:** Establish a European AI infrastructure programme to develop public computing capacity, public datasets, and public AI research facilities. This infrastructure would ensure that democratic institutions maintain independent capabilities for AI development and assessment.
- **Talent development and retention:** Launch a €5 billion European AI Talent Initiative to retain EU AI researchers and attract international expertise through competitive compensation, research infrastructure, and mission-driven projects that appeal to researchers motivated by positive social impact.

4.3 International coordination (2025-2028)

The global nature of AI development requires international coordination mechanisms that can establish shared standards whilst respecting democratic sovereignty and values.

- **International AI Governance Council:** Lead the creation of an International AI Governance Council with binding frameworks and enforcement mechanisms. Unlike purely voluntary initiatives, this council would have authority to coordinate responses to AI developments that pose transnational risks.
- **EU AI safety diplomacy:** Establish an Annual EU AI Safety Summit as a recurring EU-led event to maintain momentum on safety research and international coordination. This summit would complement existing initiatives whilst ensuring European leadership on safety and democratic governance priorities.
- **Strategic bilateral engagement:** Negotiate bilateral AI agreements with the US and China, focusing on shared challenges such as safety research, risk assessment, and preventing AI arms races. These agreements would establish minimum standards whilst allowing for different governance approaches.
- **Democratic technology alliance:** Create a Democracy Technology Fund to support like-minded nations in developing AI capabilities aligned with democratic values, preventing the emergence of a binary choice between US corporate and Chinese state models.

4.4 Proactive risk mitigation (2026-2028)

As AI systems approach general intelligence, proactive measures become essential to prevent risks that would be difficult or impossible to address retrospectively.

- **Pre-deployment testing regimes:** Expand the EU AI Act to require systems approaching general intelligence to undergo rigorous alignment testing before deployment. These testing regimes would assess not only technical performance but also compatibility with democratic values and institutions.
- **Public AI utilities:** Establish government-run AI systems for critical infrastructure, healthcare, and essential services. These public utilities would demonstrate that AI systems can be designed to serve public rather than commercial objectives whilst maintaining high performance standards.

- **Citizens' AI literacy:** Develop comprehensive AI education frameworks to ensure widespread AI literacy as a prerequisite for meaningful democratic oversight. This education would focus not only on technical understanding but also on the social and political implications of AI systems.

5. CHALLENGES AND IMPLEMENTATION CONSIDERATIONS

5.1 Technical feasibility

The rapid pace of AI development creates significant challenges for policy implementation that must be acknowledged and addressed proactively. Technical specifications for AI governance measures may become obsolete before implementation completes, requiring adaptive approaches that focus on principles and procedures rather than specific technical requirements.

The complexity of modern AI systems also challenges traditional regulatory approaches based on transparency and explainability. Advanced systems may be inherently difficult to interpret, requiring new forms of accountability that focus on outcomes and alignment rather than process transparency.

5.2 Economic and political constraints

The scale of investment required for effective AI governance competes with other pressing political priorities, including climate change, healthcare, and defence spending. Building political support for AI governance requires demonstrating connections between AI policy and immediate citizen concerns rather than treating it as a purely technical issue.

Industry resistance to regulation remains significant, particularly from companies whose business models depend on minimal oversight of AI systems. Effective governance requires strategies that align regulatory objectives with business incentives, rather than treating them as purely oppositional.

5.3 International coordination challenges

Fundamental differences in values and governance systems between major AI powers create challenges for international coordination that extend beyond technical disagreements to philosophical differences about the role of technology in society.

The pace of AI development also challenges traditional diplomatic timelines, requiring new forms of international engagement that can respond rapidly to emerging developments whilst maintaining the legitimacy that comes from careful deliberation.

6. THE WINDOW WILL NOT REMAIN OPEN

The three- to five-year window for establishing effective democratic governance of advanced AI systems represents perhaps the most consequential policy challenge of our time. Unlike traditional policy areas where delayed action merely postpones benefits, the compressed timeline of AI development means that failure to act within this window risks resulting in the permanent disempowerment of democratic institutions.

As AI approaches and potentially reaches general intelligence between 2027-2030, the foundations of governance must already be in place. Establishing these frameworks after AGI emergence would be fundamentally more difficult (and potentially impossible) if technological development continues on its current trajectory.

The choice before policymakers is stark: act decisively within this narrow window to shape AI development in accordance with democratic values and human agency, or risk a future where increasingly powerful systems operate beyond meaningful democratic control. The time for gradual, incremental approaches has passed. Only bold, coordinated action within the next three to five years can ensure that artificial intelligence remains humanity's most powerful tool rather than a force that fundamentally reshapes society without democratic input.

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The urgency of this moment cannot be overstated. Each month of delay narrows the window for effective action, whilst the costs of comprehensive response continue to increase. The decisions made by democratic governments in the immediate future will likely determine whether AI becomes the greatest enhancement to human flourishing and democratic governance in history or marks the beginning of an era where algorithmic systems increasingly displace human judgment in matters of fundamental importance to democratic societies.

The window of opportunity remains open, but it will not remain so indefinitely. The question is whether democratic institutions have the foresight and resolve to act whilst action remains possible.

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